

E-rate Consulting Agreement

For E-rate Funding Years 2024, 2025 and 2026

I. Parties and Commencement of Contract

This Agreement (hereinafter “Agreement”) is entered into by and between **Brecksville-Broadview Heights City School District** (hereinafter “Client”) and **Educational Funding Group, Inc.**, (hereinafter “EFG”) at Cleveland, Ohio. Client and EFG may also be hereinafter referred to individually as “Party” or collectively as “Parties.”

This Agreement shall commence when signed by both Parties hereto and shall remain in full force and effect until, for each funding year, all funding is awarded, pertinent administrative appeals are exhausted and associated work is complete.

1.01 Recitals

In consideration of the mutual covenants and agreements to be kept and performed on the part of the Parties hereto as herein stated the Parties stipulate as follows:

- EFG is in the business of performing consulting services relative to the Federal Communication Commission’s (“FCC”) E-rate program. EFG represents it possesses the qualifications, resources, and experienced, qualified personnel to provide such services; and,
- Client desires to retain EFG as its consultant to perform E-rate work associated with the funding year(s) governed by this Agreement and hereby confers authority upon the personnel and agents of EFG to act as Agent(s) and represent Client with the Schools and Libraries Division (“SLD”) of the Universal Services Administrative Corporation (“USAC”) regarding all matters involving the Client’s E-rate applications as governed by this Agreement; and
- Both parties affirm their respective obligation to follow all applicable FCC/USAC E-rate rules and regulations in the performance of this Agreement.

NOW, THEREFORE, in consideration of the mutual promises herein contained and intending to be legally bound hereby, the parties agree as follows:

II. Scope of Work

2.01 General Statement. During the term of this Agreement and any renewal periods, Client hereby engages EFG to perform the following E-rate consulting services in accordance with the terms and conditions set forth in this Agreement.

2.02 Scope of Services Provided by EFG.

- **Technology Review:** Review Client's existing technology needs relative to E-Rate eligible services, including Broadband, Internet Access, Fiber Networks and Services, Internal Connections, Basic Maintenance of Internal Connections and Managed Internal Broadband Services to maximize Client's E-rate funding opportunities and help ensure a robust network.
- **Form Preparation:** EFG will prepare and process all necessary E-rate applications and forms on behalf of Client including, but not limited to, FCC Forms 470, 471, 486, 472, 498 and 500. All forms prepared by EFG will be submitted to the Client for review and final approval prior to submission.
- **Competitive Bidding:** In close cooperation with Client, EFG will assist and guide Client through E-rate competitive bidding processes, work with Client to review service provider proposals and help determine the most cost-effective service. Client shall have responsibility for, and final say over, the selection of all service providers.
- **Participation in USAC Review Processes.** Unless otherwise provided herein, EFG will provide guidance, advice, and prepare written responses to USAC Program Integrity Assurance (PIA), Cost-effectiveness, Payment Quality Assurance (PQA) and Selective Service (SSR) Reviews, and other audits related to, or arising from, work done by EFG.
- **Post Commitment Actions.** EFG preparation and submission of Service Substitutions, SPIN changes, Service Certifications, and Appeals and Requests for Waivers to USAC and/or the FCC (specifically excluded are appeals to federal courts). Prior to submitting for reimbursements, EFG will also review for accuracy vendor invoices for E-rate services.
- **Document Retention.** EFG will retain copies of all documents associated with the funding years governed by this Agreement for the time period necessary to remain in compliance with FCC rules, which is currently ten (10) years from the last date of service.
- **E-rate Compliance and Legal Matters.** As necessary, EFG will apprise Client of the FCC's and USAC's E-rate rules and regulations. **EFG will not render any legal or regulatory advice to Client or perform legal work of any kind.** Legal advice will only be provided by an experienced attorney selected and retained by EFG.
- **Included Ancillary Services.**
 - Review of Client's technology budget necessary to support its E-rate applications.
 - Tracking of Category 2 five-year budgets.
 - Evaluation of NSLP/CEP data; and
 - Reconciliation of E-rate reimbursements.

2.03 Professional Services Available at an Additional Cost

- **Audit Services:** FCC/USAC audits that relate to work not performed by EFG, or those that occur later than five (5) years after the last date of service for work performed by EFG, are available at an additional cost to be agreed on between the parties. Any such agreement shall be embodied in a written addendum to this Agreement.
- **Additional Professional Services:** Technology planning, network design, or design of telephone, voice and/or video systems, and other technology-related, non-E-rate services are available at an additional agreed upon cost.

2.04 Client Responsibilities

Client's responsibilities during the term of this Agreement, and any renewal periods, include, but are not limited to:

- **Letter of Agency (LOA):** For each funding year governed by this Agreement, Client shall execute a Letter of Agency authorizing EFG's interaction with USAC on its behalf.
- **USAC EPC Portal:** Client shall register with the E-rate Productivity Center (EPC) and provide EFG with 'Full Rights' i.e., the authorization to 'create, certify and submit' forms, so that EFG may perform its obligations under this Agreement. If necessary, EFG will assist Client in setting up an EPC account and/or in adding necessary personnel.
- **Information and Documentation:** Unless otherwise specified, Client shall provide all information, documentation and data requested by EFG within five (5) Client business days of each request. Since USAC imposes strict deadlines on responding to information requests, Client's continued failure to timely respond may result in termination of this Agreement.
- **Secure Necessary Funds:** Client shall secure the necessary funds to meet its non-discounted share of E-rate funding, which Client acknowledges will not be paid or subsidized by any service provider.
- **Procurement:** In addition to FCC competitive bidding requirements, Client shall ascertain and comply with all applicable state and local procurement laws and policies.
- **Contracts:** After completing its competitive bidding evaluations, Client shall obtain contracts from its selected vendors and forward them to EFG for E-rate compliance review, preferably prior to signing. Once contracts are fully executed, Client shall send copies to EFG so as to enable it to satisfy E-rate document retention requirements. This provision also applies to renewals or extensions of existing vendor contracts. Client agrees to send all contracts, renewals, and/or extensions to service providers in a timely manner so as to meet E-rate requirements and allow for timely filing of the Form 471.
- **CIPA:** Client shall comply with the requirements of the Children's Internet Protection Act ("CIPA") and provide proof of same to EFG.

- **Document Retention:** Client shall retain its copies of all E-rate documents for the time period necessary to remain in compliance with FCC rules, which is currently ten (10) years from the last date of service.

III. Independent Contractor

The parties acknowledge and agree that EFG is an independent contractor.

IV. Term

After the initial term, this Agreement may be renewed for an additional term by mutual written agreement of the Parties; renewals in West Virginia are limited to two (2) additional one-year terms. Prior to the expiration of the original term, EFG will contact Client to determine Client's intent to renew. Unless otherwise modified, all renewals will be subject to the same terms and conditions as the original Agreement. A copy of any renewal document shall be considered an addendum to this Agreement.

V. EFG's Fee Structure and Payment Terms:

5.01 EFG's Fee for Each Complete Funding Year:

For each complete funding year, EFG's fee for services rendered will be:

\$2,500 or seven percent (7%) of disbursed E-rate funding, whichever is greater.

If Client applies for, and is awarded, Category 2 funding and Client decides to cancel the project, or for any reason decides not to utilize all or some of the Category 2 funding, Client may be charged up to 2% of the post-discount funding amount to compensate EFG for the work it performed in securing said funding.

5.02 Payment Terms

For each complete Funding Year governed by this Agreement, payment of EFG's fee shall be made in the following installments:

First Installment: The first installment of \$2,000 is due to EFG upon submission of Client's FCC Form 471.

Subsequent Installments shall become due as payments for each FRN are disbursed. EFG may issue one or more invoices based on the disbursements until EFG's fees have been paid in full.

5.03 True-up and Adjustments: For each program year, any necessary adjustments will be made based on the program year's final disbursements. However, any act or action by Client or its personnel that violates FCC/USAC E-rate rules or regulations, and results in a rescission of a funding commitment or return of E-rate funds, shall not change Client's payment obligation to pay EFG's fee in full. Should Client have unresolved Red-Light issues from funding years prior to becoming an EFG client then EFG's fees will be based on USAC funding commitments, not FCC funding disbursements.

5.04 Remittance Terms: All payments due under the terms of this Agreement shall be made within thirty (30) days of invoice and remitted to EFG's office located at 3460 Kersdale Road, Cleveland Ohio 44124, or to any other mailing address provided by EFG.

5.05 Fees for Completing work from Prior Funding Year(s): At Client's request, and for separate pricing, EFG will complete the work required to complete prior E-rate funding years. However, EFG will not have responsibility or liability for work performed prior to the effective date of this contract, which includes, but is not limited to, the original applications, bidding evaluations, matrices, etc. and any other work that was not prepared by EFG. Unless otherwise specified herein, the authorization and cost to complete prior funding years shall be agreed to in writing as an addendum to this Agreement.

5.06 Renewal Pricing: To allow for changes in economic inflationary conditions, at the beginning of any renewal period and subject to Client's consent and agreement, EFG may request a modest annual increase.

VI. Mutual Cooperation

6.01 Time is of the essence for the completion of the work described in this contract. The Parties expect all work described herein to be completed in a timely manner to meet E-rate deadlines and that any delay in the completion of the work described herein shall constitute a material breach of this contract.

6.02 The Parties shall cooperate with each other in the performance of their obligations hereunder, including Client securing and providing all information, documentation, and data to EFG in accordance with the Information and Documentation section referenced above, so that all filings may be completed before applicable deadlines. This includes, but is not limited to, service provider evaluations, copies of fully executed service provider contracts, and any other information and documentation requested by EFG.

VII. Confidentiality

7.01 Confidential Information.

The parties acknowledge that in the course of its engagement with EFG Client may receive certain proprietary or confidential information from or about EFG and its affiliates, officers, owners, directors or employees; said confidential information consisting of, but not limited to:

- (a) Technical information: Methods, processes, formulae, compositions, systems, techniques, inventions, computer programs and research projects.
- (b) Business information: Names of potential customers, proposed business transactions with third parties, pricing data, sources of supply or financial data. Other confidential and proprietary information relating to EFG or its business whether provided orally or in writing.
- (c) All such technical, financial or other business information supplied by EFG or its Representatives is hereinafter referred to as "Information."

7.02 Non-Disclosure Obligation.

For good and mutual consideration, Client as well as any of its Representatives receiving Information agree to and shall keep such Information confidential, and shall not disclose or divulge, in whole or in part, to others, other than to its Representatives who need to know such Information in connection with Client's negotiations, contract(s) or involvement with EFG, who shall be informed of the confidential nature of the Information and who shall be required by Client to treat such Information confidentially.

7.03 Non-Use Obligation

In addition to its obligation of non-disclosure hereunder, Client agrees that it will not, directly or indirectly, attempt to appropriate or otherwise use, for its or other party's benefit, the Information of EFG.

VIII. Assignment

Neither Party may assign this Agreement or any right or interest herein, without the prior written consent of the other Party, which consent shall not be unreasonably withheld.

IX. Miscellaneous

9.01 Any amendment, supplement, or waiver of any provision of this Agreement must be in writing and signed by authorized representatives of both parties. The Parties acknowledge that the terms of this Agreement may need to be modified to accommodate changes in the E-rate program rules and regulations.

9.02 This Agreement shall be binding upon and inure to the benefit of the parties hereto, their successors and permitted assigns.

9.03 All agreements and covenants herein are severable, and in the event any of them is held to be invalid by any competent court, the Agreement will be interpreted as if such invalid agreements or covenants were not contained herein. The parties further agree that in the event such portion is an essential part of this Agreement, they will immediately begin negotiations for a replacement.

9.04 Both Parties shall comply with the provisions of all applicable federal, state, county and local laws, ordinances, regulations and codes (including procurement of required permits or certificates) in connection with the performance of their obligations hereunder.

9.05 No waiver by any party of the breach of any term or provision of the Agreement will be construed to be a waiver of any proceeding or succeeding breach of the same or any other term or provision.

X. General Provisions

This Agreement constitutes the entire understanding and agreement between the Parties hereto with respect to the matters herein, and supersedes all prior or contemporaneous representations or agreements, written or oral, with respect to the matters covered herein.

Nothing in this Agreement is intended to create, or shall be construed as creating, a joint venture, partnership, agency, or taxable entity between the Parties, or any right to pledge the other's credit.

Neither Party shall be deemed in default if its performance or obligations hereunder are delayed or become impossible or impractical by reason of any act of God, war, fire, earthquake, labor dispute, accident, civil commotion, epidemic, or any other cause beyond such Party's reasonable control.

This Agreement may be terminated immediately by either Party upon any breach by the other Party of any terms or conditions contained herein. Any such termination shall be presented to the other Party in writing.

Unless otherwise stated in writing, no termination of this Agreement shall release either Party from its obligation to the other Party, including any amounts accrued prior to such termination or which shall accrue after such termination.

The Parties acknowledge that the provisions of this Agreement have been negotiated between them. Therefore, regardless of any Canons of Construction, laws or regulations to the contrary, this Agreement, including addendum, shall not be strictly construed against the drafter.

XI. Notices

All notices and other communications to be given to any party hereto in accordance with the provisions of this Agreement shall not be effective unless in writing and shall be deemed to have been given:

- i. on the date of receipt if hand-delivered, sent by email, facsimile or other electronic medium.
- ii. five (5) business days after being sent by registered or certified mail, postage prepaid, return receipt requested;
- iii. three (3) days after being sent by overnight courier, or on the date delivered as per the courier's records.

In each case any such notice shall be addressed to the appropriate party at the address stated below:

Educational Funding Group, Inc.

3460 Kersdale Road
Cleveland, OH 44124
Attn: Paul Karas
Phone: 216-831-2626
E-mail: erate@naa.com

Client: **Brecksville-Broadview Heights City School District**

Address: 6638 Mill Road
Brecksville, Ohio 44141

Attn: _____
Phone: _____
Email: _____

Client shall have five (5) Client business days after notification to cure any default.

XII. Electronic Signatures

Facsimile, pdfs and other forms of electronic signatures, shall be deemed authentic.

Each undersigned signatory represents that each has authority to enter into this Agreement on behalf of its respective Party.

Educational Funding Group, Inc.

Brecksville-Broadview Heights City School District

Paul Karas, President

Signature

Printed Name

Title

Date

Date